

discovered a “cutting room” in the Northern California community of San Bruno, staffed entirely by illegal aliens who were being paid one to two cents for every coupon they clipped.

In a more recent coupon fraud case, in March of 2007, seven men pled guilty for their roles in a New Jersey–based, multi-state coupon redemption fraud scheme. The defendants admitted that between October 1999 and July 2004 they’d contacted at least fifty-four stores and retail outlets in New Jersey, New York, Pennsylvania, and Maryland, soliciting participation in a coupon redemption promotion which would qualify the store owners to receive cash payments by redeeming manufacturer coupons through doctored applications to clearinghouses. The defendants submitted tens of thousands of coupons to clearinghouses that issued checks totaling more than \$580,000 to the store owners, who would then pay 50 percent or more of the money to the masterminds of the criminal activity.

It isn’t just the grocery stores and the coupon brokers who have been busted for coupon fraud. Fraud even infiltrated one of the coupon clearinghouses. Coupon clearinghouses have been around since 1957, collecting coupons from the stores, submitting them to the issuing companies for reimbursement, and then redistributing that money to the retailers. Their income comes through handling fees and other charges.

Robert MacDonald, also known as “Big Mac” worked for one of the biggest clearinghouses in the United States: International Outsourcing Services (IOS), a company that in 2007 employed five thousand people nationwide, with a corporate office in West El Paso. As the Memphis office manager in 2004, MacDonald was convicted for stealing more than \$50